

Mark Scheme (Predicted)

MODERATE

Pearson Edexcel International GCSE

in Economics (4EC1) Paper 01

Paper 1: Microeconomics and Business Economics

General Marking Guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where grade boundaries may lie.
- All marks on the mark scheme are designed to be awarded. Award full marks if the response matches the mark scheme; award zero if the response is not worthy of credit.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Question number	Which one of the following values shows price inelastic demand? Answer	Mark
1(a)	AO1 1 mark The only correct answer is: A -0.3 B is not correct because this is unitary elasticity C is not correct because demand is price elastic D is not correct because this is perfectly price elastic demand	(1)

Question number	A country has a minimum wage of \$8.50 per hour. If a worker works 40 hours in a week, the lowest weekly wage the worker can earn is Answer	Mark
1(b)	AO2 1 mark The only correct answer is: C \$340.00 A is not correct because this is only one hour of labour B is not correct because this is 20 hours at minimum wage D is not correct because this is 80 hours at minimum wage	(1)

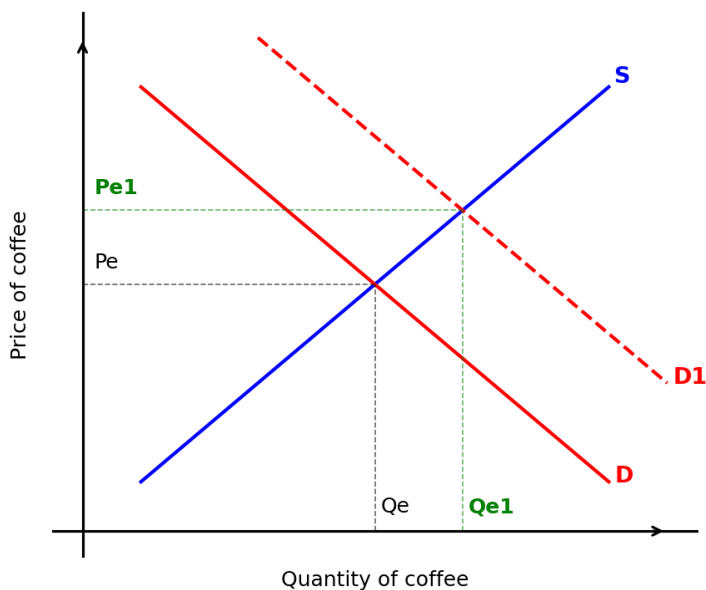
Question number	What is meant by the term free market economy? Answer	Mark
1(c)	AO1 2 marks Award up to 2 marks for a correct definition An economy in which private individuals/firms (1) make decisions about the allocation of resources with no/minimal government intervention (1) Accept any other appropriate response	(2)

Question number	State one example of an occupation that is in the primary sector of an economy. Answer	Mark
1(d)	AO1 1 mark Award 1 mark for a correct example • Farmer / Fisherman / Miner / Oil driller / Logger Accept any other appropriate response	(1)

Question number	Define the term consumer. Answer	Mark
1(e)	AO1 1 mark	(1)

	Award 1 mark for a correct definition A person/household that buys and uses goods and/or services Accept any other appropriate response	
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Question number	Calculate, to two decimal places, the price elasticity of demand (PED) for a good if the price rises by 5% and the quantity demanded falls by 10%. You are advised to show your working. Answer	Mark
1(f)	AO2 2 marks Award 1 mark for showing correct calculation $-10\% \div 5\%$ (1) Award 1 mark for correct PED $= -2.00$ (1) Award 2 marks if PED is correctly calculated as -2 or -2.00, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	Draw the likely effects on the market for coffee if consumer incomes rise. Answer	Mark
1(g)	 AO2 3 marks Award 1 mark for a rightward shift of the demand curve, labelled (e.g. D1) Award 1 mark for a higher equilibrium price, labelled (e.g. P1) Award 1 mark for a higher equilibrium quantity, labelled (e.g. Q1)	(3)

Question number	Explain one possible opportunity cost for Ahmed of this decision. Answer	Mark
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1(h)	AO2 3 marks Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context One opportunity cost is that Ahmed may not be able to buy new clothes (1) because he does not have enough money to buy both a bicycle and clothes (1), so he has to sacrifice the next best alternative when using the money to buy the bicycle (1) Accept any other appropriate response	(3)
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Question number	With reference to the data above and your knowledge of economics, analyse two possible factors Maria should consider when deciding to employ a third baker. Indicative content
1(i)	AO2 (3 marks) / AO3 (3 marks) - Factors influencing firm decisions to employ more labour include: demand for the product, the cost of labour (wages), productivity of new workers, availability of skilled workers and the aims of the firm. - Maria has seen demand for bread grow over the past year, which suggests a third baker may be needed to meet the additional demand. - Employing a third baker would raise Maria's total costs, so she needs to consider whether her revenue from the extra output would be higher than the extra wage cost. - If skilled bakers are available locally in Lima, recruitment will be easier and may raise productivity at the bakery. - Division of labour may allow her existing two workers to specialise (e.g. one in baking, one in selling) with the new baker, raising efficiency and lowering average cost per loaf.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	- Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories

Level	Mark	Descriptor
		and calculations (AO2). Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Which one of the following diagrams shows excess demand? Answer	Mark
2(a)	AO2 1 mark The only correct answer is: A B is not correct because this shows excess supply C is not correct because this shows a shift of supply D is not correct because this shows a movement along the demand curve	(1)

Question number	Which one of the following is a feature of perfect competition? Answer	Mark
2(b)	AO1 1 mark The only correct answer is: C There are many small firms A is not correct because this is a feature of monopoly B is not correct because firms sell homogeneous (identical) products in perfect competition D is not correct because there are low barriers to entry in perfect competition	(1)

Question number	Calculate the percentage change in quantity demanded for a normal good if the income elasticity of demand (YED) is 0.8 and income rises by 15%. Answer	Mark
2(c)	AO2 2 marks Award 1 mark for showing the correct calculation $15\% \times 0.8$ (1) Award 1 mark for correct change in quantity demanded = 12% (1) Award 2 marks if the change in quantity demanded is correctly calculated as 12%, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	What is meant by the term external costs? Answer	Mark
2(d)	AO1 2 marks Award up to 2 marks for a correct definition Costs that fall on third parties (1) as a result of economic activity / production or consumption (1)	(2)

	Accept any other appropriate response	
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Question number	Describe one feature of monopolistic competition. Answer	Mark
2(e)	AO1 2 marks Award 1 mark for reference to the feature and 1 mark for development Many firms (1) each with a small share of the market (1) OR Differentiated products (1) so firms can compete on branding/quality as well as price (1) OR Low barriers to entry and exit (1) so new firms can enter if short-run profits are made (1) Accept any other appropriate response	(2)

Question number	Explain one reason why Leila may want to increase wages rather than maximise profits. Answer	Mark
2(f)	AO2 3 marks Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context - Managers may have different objectives to owners (1). Leila may wish to keep good workers and reduce staff turnover, so raising wages could retain staff (1) even though higher wages reduce the café's profits (1) - Managers may pursue social responsibility (1) such as paying a fair wage, which improves staff motivation (1) even if it lowers the café's profits (1) Accept any other appropriate response	(3)

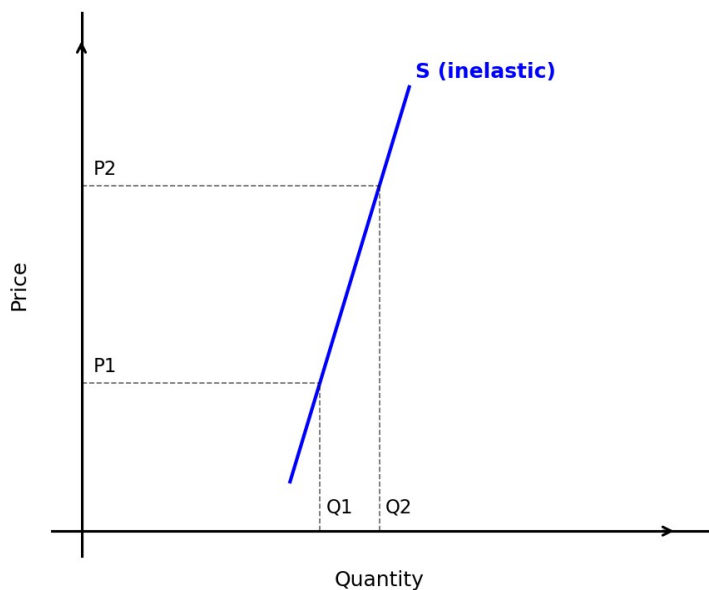
Question number	Assess the effectiveness of government subsidies when encouraging consumption of merit goods such as electric vehicles. Indicative content
2(g)	AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) - Merit goods are goods that are underconsumed in a free market because they generate positive externalities. - A subsidy is a grant from the government that reduces the cost of production and/or the price paid by consumers. - Norway's EV subsidies have lowered the effective price of electric cars, increasing demand — 82% of new car sales in 2023 were fully electric, showing the policy has changed consumer behaviour.

	• Higher EV use reduces air pollution and CO₂ emissions, correcting under-consumption of the positive externality. • Therefore, subsidies have been effective in encouraging consumption of this merit good. • AO4 • However, subsidies are expensive and create an opportunity cost — money spent on EV subsidies could have been used for healthcare or education. • Subsidies can be captured by higher-income consumers who would have bought an EV anyway, reducing value for money. • Effectiveness depends on the size of the subsidy and the availability of complementary infrastructure (e.g. charging points). • Alternative policies such as regulation, carbon taxes on petrol cars, or information campaigns might achieve the same outcome at lower cost.
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	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	An increase in which one of the following is most likely to cause an increase in the supply of labour? Answer	Mark
3(a)	AO1 1 mark The only correct answer is: B Net inward migration of workers A is not correct because raising the school-leaving age reduces supply of labour C is not correct because higher income tax reduces incentive to work D is not correct because a lower retirement age reduces supply of labour	(1)

Question number	Which one of the following is the formula to calculate profit? Answer	Mark
3(b)	AO1 1 mark The only correct answer is: B Total revenue – total costs A is not correct because this does not give profit C is not correct because this gives total revenue, not profit D is not correct because this does not give profit	(1)

Question number	Draw a price inelastic supply (PES) curve and show the impact on both axes from a change in price. Answer	Mark
3(c)	 AO2 3 marks Award 1 mark for drawing a steep / inelastic supply curve, labelled	(3)

	(e.g. S) Award 1 mark for showing a larger change in price on the price axis Award 1 mark for showing a smaller change in quantity on the quantity axis	
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Question number	Analyse the possible advantages for Café Primo of using specialisation at its coffee shops. Indicative content
3(d)	AO2 (3 marks) / AO3 (3 marks) • Specialisation (division of labour) involves breaking down the production process into smaller tasks, with each worker focused on one task. • In a Café Primo shop, baristas make drinks, cashiers take payments, and cleaners maintain hygiene. This allows each worker to become skilled at their specific role. • By specialising, productivity rises because workers complete their tasks more quickly, allowing Café Primo to serve more customers per hour. • This raises revenue and can lower average costs per drink, supporting the firm's rapid expansion to 40 new branches. • Time is saved because staff do not switch between tasks, creating further efficiency gains.

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	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Assess whether demand is likely to be more price inelastic for cigarettes than for smartphones. Indicative content
3(e)	AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) • Price elasticity of demand (PED) measures the responsiveness of demand to a change in price. • Demand is price inelastic when the percentage change in quantity demanded is smaller than the percentage change in price (PED between 0 and -1). • Cigarettes are addictive, meaning that consumers will continue to buy them even if the price rises, making demand price inelastic. • Cigarettes have few close substitutes, strengthening the inelasticity. • Smartphones, by contrast, have many competing brands — consumers can easily switch from Apple to Samsung or Xiaomi if one brand raises its price, making demand more price elastic. • Smartphones also take up a larger share of income than a single pack of cigarettes, which tends to make demand more price elastic. • AO4 • However, luxury or branded smartphones (e.g. iPhones) may have price inelastic demand for loyal customers who view them as having no close substitute in their view. • For young consumers starting to smoke, cigarette demand may actually be more elastic as they have not yet developed an addiction. • In the long run, anti-smoking campaigns and substitute products (e.g. e-cigarettes) make cigarette demand more elastic. • Smartphones sold under contract may have more inelastic demand than outright purchases, because consumers are tied into multi-year agreements. • Overall, cigarettes are likely to have more price inelastic demand than smartphones, though the difference depends on brand, consumer group and time period.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing

Level	Mark	Descriptor
		relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	Calculate the monthly total costs of the clothing factory. Answer	Mark
4(a)	AO2 2 marks Award 1 mark for showing correct calculation $\$2,000 + \$800 + (1,500 \times \$4.50)$ OR $\$2,000 + \$800 + \$6,750 \text{ (1)}$ Award 1 mark for calculating correct total costs $= \$9,550 \text{ (1)}$ Award 2 marks if total costs are correctly calculated as \$9,550, even if no calculations are shown Do not award marks for the formula alone	(2)

Question number	Analyse how internal economies of scale may lead to benefits for Zara. Indicative content
4(b)	AO2 (3 marks) / AO3 (3 marks) - Internal economies of scale occur when average costs fall as a firm expands, such as purchasing, marketing, technical, financial, managerial and risk-bearing economies. - Zara has over 2,000 stores and produces large volumes of clothing, allowing it to buy raw materials (e.g. fabric) in bulk at discounted prices — purchasing economies. - Marketing costs (e.g. global campaigns) can be spread over many stores and millions of garments, lowering the average marketing cost per item. - Large production runs allow Zara to invest in specialist machinery and centralised distribution centres in Spain, generating technical economies and speeding up the supply chain. - Lower average costs allow Zara to offer lower prices, maintain competitiveness with rivals and earn higher profit margins. - Risk-bearing economies arise from operating in 96 countries — a poor season in one market can be offset by strong sales elsewhere.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	Demonstrates partial knowledge and understanding by developing

Level	Mark	Descriptor
		relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Evaluate whether consumers are likely to benefit from the nationalisation of the water supply company. Indicative content
4(c)	AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks) • Nationalisation is the transfer of a private-sector firm into state ownership. • The Bolivian government would take over the water supply company currently run by the private sector. • Under public ownership, the government may prioritise social objectives (e.g. affordable access) rather than profit maximisation. • This could mean lower prices for water, particularly for poorer households, raising their real incomes. • Water supply interruptions may be reduced because investment decisions can be made in the long-term public interest rather than short-term shareholder returns. • Public ownership may also ensure that water, a necessity and merit good, is provided equitably across the country. • AO4 • However, the government may lack the expertise and resources to run the water company efficiently, leading to higher unit costs and possibly worse service. • Without the profit motive, there may be less incentive to innovate or invest in modern infrastructure, meaning quality declines over time. • Nationalisation requires significant public funding to buy out the private owners, which creates an opportunity cost for other government spending (e.g. schools, hospitals). • If the water company runs at a loss, taxpayers ultimately pay through higher taxes — consumers as taxpayers may be worse off overall. • The outcome depends on the quality of government management, the size of any price cuts, and whether investment in maintenance is sustained. • On balance, consumers may benefit from lower prices and more reliable supply in the short run, but the long-run benefit depends on whether the government can operate the company efficiently.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).

Level	Mark	Descriptor
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).